

POLICY PUSH

- MeitY has approved seven projects worth ₹5,532 crore
- ECMS has an outlay of ₹22,919 crore

SRF LIMITED

- POLYPROPYLENE FILM ₹496

SYRMA STRATEGIC ELECTRONICS

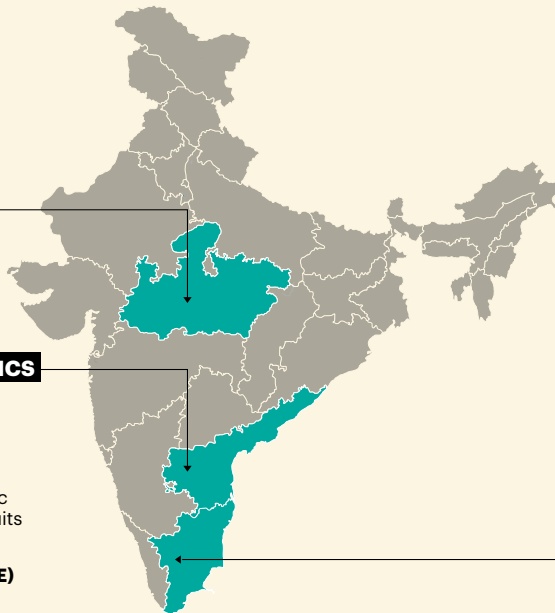
- MULTI-LAYERED PCB ₹765

APPLICANT SRF Limited; Syrma Strategic Electronics; Keynes Circuits; Ascent Circuits

PRODUCTS IN ●●●●●

CUMULATIVE INVESTMENT (IN ₹CRORE)

SOURCE MEITY



KAYNES CIRCUITS

- HDI PCB ₹1,684
- LAMINATE ₹1,167
- CAMERA MODULE SUB-ASSEMBLY ₹325
- MULTI-LAYERED PCB ₹104

ASCENT CIRCUITS

- MULTI-LAYERED PCB ₹991

TOTAL ₹5,532

82 | breakdown, nearly 60% of the \$500 billion electronics manufacturing target will have to come from components, says Sharma.

The question is how fast can India build this missing middle?

A NEW PUSH

“The assembly line part is not very high-tech manufacturing. This means if the cost goes up, it can shift. Like (it did) from China and shifted to Vietnam and India, it can shift from here to some other location,” says S. Krishnan, Secretary, Ministry of Electronics and Information Technology (MeitY). “So, we have to make sure that we deepen the value addition in the country, so that the shift is not so easy, and India stays competitive as a location for (electronics) manufacturing.”

In electronics manufacturing, the value chains are global and that’s true even for China, the world’s undisputed manufacturing powerhouse.

THE GLOBAL MARKET

- Components will be around \$2 trillion market by 2030
- Of this, semiconductors will be around half the pie

	2023	2030
Global Components Market (overall)	~1,170	1,980
Semiconductor market	527	1,000
Non-semiconductor market	640+	980+

NOTE FIGURES IN \$ BILLION

SOURCE THE BUSINESS RESEARCH COMPANY, MARKET.US, WSTS

“Not even China has 100% value addition. Their proportion (in components) is only about 40% in case of mobile phones and certain

electronics,” says Krishnan. “So, with this scheme, India’s goal is to double the value addition, from this present 18-20% to 35-40%.”

And the time is ripe for India to become an alternative source of exports in the electronics component ecosystem rather than just boosting production for domestic use.

“You have to have two or three alternative sources of supply for anything. So, in that context, we have to make the components well enough to become a part of the global value chain,” says Krishnan.

STRATEGIC PICKS

After extensive consultations with industry, the government has strategically picked two kinds of components to encourage their production—those in which India already has a presence, and high-value components in which it lacks substantial heft.

ECMS spans four categories: sub-assemblies, bare components,